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EQUITY: INTERNET & NEW MEDIA

Takeaways from a short drama platform expert call

The shortcomings of AI on full display in the short drama business

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Key highlights

The Nomura China internet team hosted a group call with an expert from Hongguo (Red Fruit), China's top-ranked short drama and animation streaming platform affiliated with ByteDance (unlisted). Hongguo initially built its business exclusively on live-action short dramas featuring human actors. Since last year, however, the platform has stepped up incentives for AI-generated dramas. As of today, according to the expert, AI-generated content accounts for less than 30% of total viewership on the platform. Nevertheless, the side effects of such AI-generated content have also emerged, prompting the platform to reverse course—shifting user traffic and financial support back in favor of live-action dramas.

AI tools have significantly lowered the barriers to content production. The expert estimated that the average cost for one AI-generated short drama is typically one-third to one-quarter of that for live-action content, while the production cycle is much shorter. As a result, AI-animated content surged on the Hongguo platform, squeezing both the time spent on and thus potential ad revenue generated by live-action content. Based on the expert's observations, some creators rapidly churn out AI-animated content of inferior quality simply to maximize viewership and the resulting ad dollars.

Therefore, the expert stated that Hongguo has intervened to more tightly manage the growth of AI-generated content, aiming to cap its share below the current 30%. In the expert's view, while AI-generated content offers strong cost advantages, it is not easy to establish the emotional resonance with human audiences—and thus the appeal to brand advertisers—that live-action dramas provide. Thus, the unchecked growth of AI-generated content could therefore dilute the streaming platform's advertising value. On a separate note, Hongguo's decision to rein in the growth of AI-generated content may impact the commercialization of video-generation AI tools like Seedance, as animation studios are likely a key customer base for such AI tools.

Strong user growth continues, with AI-generated dramas emerging as a new growth engine

Hongguo's apps, comprising its flagship short-drama app and standalone animated drama app, are ByteDance's primary platforms to cater to demand for watching short dramas (both live-action and AI-generated ones). Both apps have maintained strong user growth momentum. According to the expert, the flagship Hongguo short-drama app reached 120mn DAU and 330mn MAU in 1H26. Meanwhile, the standalone Hongguo animated drama app, which was strategically upgraded from Xianning, an app originally launched by ByteDance in June 2025 for short-drama distribution, reached 16.5mn DAU and 40mn MAU in June 2026. The two apps serve distinct user groups and content preferences. The flagship app primarily targets middle-aged and elderly users in lower-tier markets, mainly supported by live-action hit titles with relatively long popularity span. By comparison, Hongguo animated drama app focuses heavily on younger male ACGN (animation-comic-game-novel) users, offering lower-cost, AI-generated content whose popularity span tends to be shorter.

The AI-generated drama market has expanded rapidly since 2H25, supported by improvements in text-to-video models and content-production tools. According to the expert, China's AI-generated drama market is expected to grow by ~80% y-y to CNY26.7bn in 2026. This would help drive the combined live-action and AI-generated short-drama market above CNY120bn, representing ~25% y-y growth. By now, according to the expert, Hongguo is estimated to hold more than 60% of the AI-generated drama

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market. Tencent (700 HK, Buy) and Kuaishou (1024 HK, Neutral) related apps and mini-programs each account for approximately 12%, while the remaining roughly 20% is shared among Bilibili (BILI US, Neutral) and traditional long-form video platforms, including iQIYI (IQ US, Neutral). Thanks to the rapid growth of AI-generated dramas, Hongguo targets its standalone animated drama app to reach 31mn DAU and 80mn MAU by year-end, almost doubling its user scale in June, according to the expert.

Advertising remains the core monetization engine, with AI content driving incremental growth

According to the expert, Hongguo generated ~CNY35bn in total commercial value in 1H26, including CNY15bn of e-commerce GMV. The e-commerce contribution was generated through direct-purchase links embedded in short dramas, a dedicated in-app shopping tab in its flagship short-drama app and commerce-related tasks incorporated into apps‘ user-incentive system. Aside from e-commerce business, Hongguo’s core revenue increased by ~87% y-y to CNY20bn in 1H26. Advertising remained the dominant revenue source, accounting for around 97% of its core revenue, while membership subscriptions, long-form content and other revenue streams remained relatively small.

Advertising revenue generated from live-action short dramas reached ~CNY16.5bn, up 69% y-y, mainly driven by higher advertising fill rates and an increased proportion of non-skippable advertisements. AI-generated drama advertising revenue surged approximately 400% y-y to CNY2.8bn, albeit from a low base, supported by rapidly increasing content supply and user consumption.

The expert believes Hongguo is on track to achieve its full-year core revenue target of CNY42-45bn, which would represent approximately 100% y-y growth. Looking ahead, advertising is expected to remain the platform’s primary monetization model rather than the subscription model, according to the expert. In our view, this broadly mirrors the commercialization path followed by other ByteDance entertainment apps, including Tomato Novel and Soda Music.

Hongguo is actively managing AI-generated drama exposure to protect ecosystem health

AI technology has significantly lowered the production threshold and cost of short dramas. According to the expert, an AI-generated short drama can be produced at only one-quarter to one-third, or potentially even less, of the cost of a live-action short drama. This cost advantage has led to a rapid increase in AI-generated content supply on the Hongguo apps.

However, the expert believes that uncontrolled expansion of AI-generated dramas would not necessarily benefit the broader content ecosystem.

Despite their lower production costs, AI-generated dramas currently have less attractive economics than headline cost comparisons might suggest. The odds of gaining audience traction for AI-generated dramas is estimated at only 2-8%, compared with ~10-20% for premium live-action short dramas. The lower success rate may reflect the prevalence of repetitive, low-quality or even copyright-infringing AI-generated content at the current stage. Besides, AI-generated dramas also tend to have shorter popularity span, typically lasting only two to four weeks. Excessive exposure could therefore reduce overall viewing time, increase user fatigue and weaken retention. This would ultimately pressure advertising monetization, which remains closely linked to user time spent and viewers’ emotional engagement with content. What’s more, brand advertisers also generally demonstrate a stronger willingness to advertise alongside live-action content than AI-generated content. A sharp shift toward AI-generated dramas could therefore dilute the platform’s advertising value.

In response, Hongguo is using recommendation weights, revenue-sharing adjustments and stricter content reviews to manage content supply. The platform is seeking to cap AI-generated dramas at approximately 30% of overall content consumption, while preserving around 70% of traffic allocation for live-action short dramas, according to the expert. This strategy is intended to maintain a healthier content mix, protect live-action production capacity, sustain user engagement and preserve the platform’s long-term monetization potential.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kuaishou Technology	1024 HK	HKD 43.60	13-Jul-2026	Neutral	N/A	A10
Tencent Holdings	700 HK	HKD 457.60	13-Jul-2026	Buy	N/A	A1,A3,A10
Bilibili Inc	BILI US	USD 17.70	10-Jul-2026	Neutral	N/A	A10
iQIYI Inc	IQ US	USD 1.13	10-Jul-2026	Neutral	N/A	

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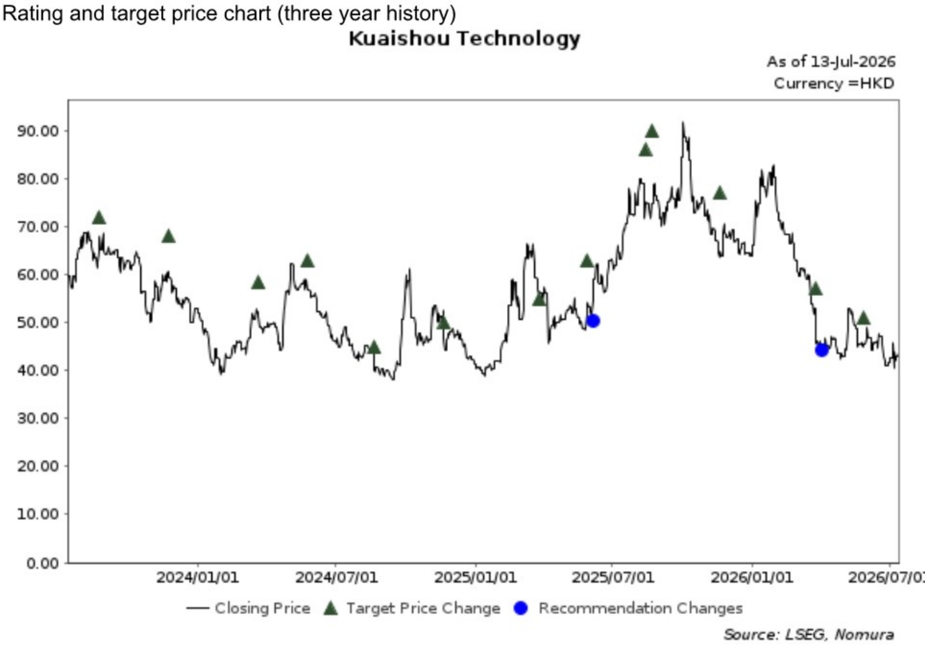
Kuaishou Technology (1024 HK) **HKD 43.60 (13-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
28-May-26		51.00	44.88
26-Mar-26	Neutral		45.60
26-Mar-26		57.00	45.60
19-Nov-25		77.00	63.50
22-Aug-25		90.00	74.90
13-Aug-25		86.00	74.95
28-May-25	Buy		51.65
28-May-25		63.00	51.65
26-Mar-25		55.00	55.85
21-Nov-24		50.00	46.40
21-Aug-24		45.00	40.00
24-May-24		63.00	56.65
21-Mar-24		58.50	51.25
23-Nov-23		68.00	60.70
23-Aug-23		72.00	64.40

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value KS' core commerce business at USD12bn, based on FY26F P/E of 5x and Kling at USD7.2bn on FY27F P/S of 10x. The resulting TP is HKD51. The benchmark index for the company is the Hang Seng Index. **Risks that may impede the achievement of the target price** Upside risks include: (1) stronger-than-expected ads revenue growth; (2) better-than-expected ecommerce GMV growth; (3) stronger-than-expected grossing growth of Kling AI. Downside risks include: (1) intensifying competition with Douyin (unlisted) and other new entrants; (2) weaker-than-expected development of Kling model; and (3) regulatory risks.

Tencent Holdings (700 HK) **HKD 457.60 (13-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

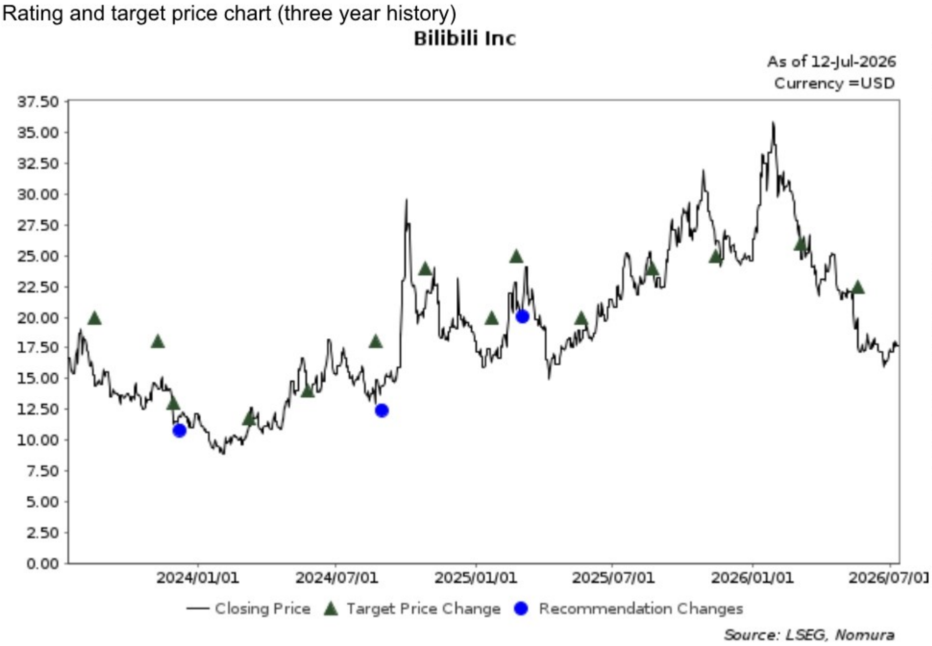
Date	Rating	Target price	Closing price
20-Mar-26		727.00	508.00
14-Nov-25		775.00	641.00
31-Oct-25		757.00	629.00
14-Aug-25		721.00	590.00
15-May-25		670.00	520.00
20-Mar-25		648.00	519.50
25-Oct-24		500.00	421.00
15-Aug-24		478.00	368.40
15-May-24		467.00	381.80
18-Jan-24		400.00	277.60
16-Nov-23		445.00	324.80
17-Aug-23		472.00	332.80

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Tencent's online gaming business at USD282bn (FY26F P/E of 18x), online advertising business at USD236bn (FY26F P/E of 20x), Fintech business at USD169bn (FY26F P/E of 15x), and Cloud business at USD40bn (FY26F P/S of 5x). We value investees at USD106bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.
Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Bilibili Inc (BILI US) **USD 17.70 (10-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
20-May-26		22.50	18.30
06-Mar-26		26.00	24.67
14-Nov-25		25.00	26.18
22-Aug-25		24.00	23.98
21-May-25		20.00	18.22
24-Feb-25	Neutral		20.53
24-Feb-25		25.00	20.53
23-Jan-25		20.00	16.43
27-Oct-24		24.00	20.65
22-Aug-24	Buy		12.96
22-Aug-24		18.00	12.96
24-May-24		14.00	13.94
08-Mar-24		11.80	11.13
30-Nov-23	Neutral		11.33
30-Nov-23		13.00	11.33
09-Nov-23		18.00	14.20
18-Aug-23		20.00	14.37

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Valuation Methodology We use P/E as our primary valuation methodology to derive our TP of USD22.5, based on 22x FY26F P/E. The benchmark index for the stock is Nasdaq Composite.
Risks that may impede the achievement of the target price An upside risk is higher-than-expected game and ads revenue growth. Downside risks include: 1) slower-than-expected MAU growth; 2) regulatory risk on content and copyrights; 3) slower-than-expected growth in gaming revenue; and 4) rising content costs.

iQIYI Inc (IQ US) **USD 1.13 (10-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Date	Rating	Target price	Closing price
18-May-26		1.30	1.13
28-Feb-26		1.90	1.60
21-Aug-25		2.20	2.35
22-May-25		1.70	1.69
17-Apr-25		1.90	1.65
19-Feb-25		2.50	2.42
17-Jan-25		2.00	1.94
22-Nov-24		2.20	1.95
23-Aug-24		2.75	2.34
01-Aug-24		3.70	3.21
19-Jan-24		4.20	3.66
18-Oct-23		5.30	4.58
23-Aug-23		5.60	4.69

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We set our TP at USD1.3, based on DCF valuation methodology, assuming a WACC of 9.7% and a terminal growth rate of 1%, with cash flows discounted back to FY26F. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks include: better-than-expected MAUs and subscriber growth; better-than-expected financial contribution from overseas and experience businesses; operating efficiency improvement from the execution of favourable regulatory policies and the application of AI technology Downside risks include: 1) further deterioration in user growth and time spent by other entertainment contents, 2) intensified competition among long-form video platforms for users and content, and 3) further regulatory risks related to online video platforms or video content.

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